

Kiyoung KIM : In this session we are talking about claim construction and procedural rules. As you know claim construction is the beginning and the end of every patent litigation. We will also talk about procedural rules and practices, especially related to submitting allegations and evidence of five different country courts. For the discussion of this session the organizing committee sent a questionnaire to the speakers and made slides summarizing their answers from the speakers. Let's move on to the first slide p.3. The title of this slide is claim construction proceedings and the separate procedure in the infringement suit. The question for this slide was whether there is a separate procedure for claim construction in infringement suits. To this question, only Judge Sleet from U.S. answered yes. So, the first question goes to Judge Sleet. Judge Sleet, what is Markman Hearing? When do you have it? And how do you run it?

Gregory SLEET : The U.S. Supreme Court told us some time ago in a case called Markman vs. Westview, that it's the judges who have responsibility for determining, for resolving disputes between and among parties over terms and claims, or elements. And so that name, Markman, evolves from the case. We call it 'Markman Hearing'. There is no prescription as to when in the process it must occur on the Court of Appeals for the Federal Circuit(CAFC). The CAFC hasn't told us that nor has the Supreme Court of the United States told us when it must occur. It is left to the discretion of individual district judge as to when he or she wants to schedule that. In my particular case to some degree I allow the parties to suggest to me a time. For me it is generally at or near the close of fact discovery, before the close of the time that expert reports are due, and or before the close of the expert discovery. Because of the form of my rulings, I am able to generally get the ruling out in roughly 30 days. Early on in my career, I decided that at the time, given the high reversal rate for the District judges in terms of our claim construction by the CAFC, I didn't find that my time was well spent writing lengthy opinions, so I began to write rather detailed orders and heavily footnoted, but explaining that I am not tossing a coin in the air. There is a rationale for my ruling. I continue that practice today even in light of the recent ruling in

TEVA, which in my opinion is not going to work a sea change in the Markman universe. For me, generally oral arguments that occur in a given time period that we have agreed upon, the parties, during rule 16th the scheduling and conference, more or less I am able to keep the parties. It is not like an appellate argument, so there is no red light or green light, telling lawyers when they can speak and when they should stop. Often times our judges, I included, will engage the parties in active discussion about their views on the meaning of a particular claim term. In fact, I often times find myself attempting to massage the parties along, to move them along to an agreement they might not have realized previously. I confine in my practice that discussion to one involving the intrinsic record. The intrinsic record of course being the claims, the specification or written description, as it's sometimes called. And of course the prosecution history. The extrinsic evidence can be considered again. There are no fast rules on this topic. There is a very well-known case called Philips. The CAFC accumulated in one place a large body of law around the issue of claim construction, and that process gave us a hierarchy for how we judges should think about where we should value evidence. What value evidence should be given. The intrinsic evidence is, we are told, to be given the highest value. It is the most important. It is the best evidence of what the drafters of the patent meant when they wrote the claims. But it is not the exclusive area of consideration. I generally do not consider extrinsic evidence, which is the other main body of evidence that one would think about in resolving claim construction disputes. The reason being that the CAFC has told us that all dictionaries and technical manuals, things of that nature which are extrinsic can be useful. I do find them useful. It's the principle other area, of experts, declarations, testimonies -- you can do anything you want pretty much as a district judge in adducing the help, if it's in the form of evidence, that you need to do your job, and that is to resolve the dispute. In the main field the lawyers do a very good job of helping me understand the technology at a sufficiently high level, so I tend to avoid experts or resort to experts' declarations, because they are litigation driven. I don't find them to be as useful. You'll find those among my colleague here are going to be differences in view, and there is no right way in my

view to do this as long as we do our job. The job which we're told that we must do is to resolve the claim construction dispute. It can occur in a Markman hearing. Some judges combine the Markman hearing or the Markman proceeding with a summary judgment process, or I've known judges who do it at a preliminary injunction phase or even wait until final jury instructions. I've actually seen that happen. It must drive lawyers nuts, but it has been known to happen.

Kiyoung KIM : Judge Son, you answered 'almost never'. So, when do you have a separate procedure and how do you run that procedure?

Cheonwoo SON : Many departments of Court do not provide a separate procedure for claim construction. These departments handle claim construction along with other issues, such as validity and infringement, on the same hearing. I think that it is necessary to define what a claim-word means before validity or infringement stage. Of course, in a simple case, especially the cases involving physical objects, court can do claim construction and decide validity or infringement all at once. But on the very complicated patents, the lawyers, experts and judge really need to know ahead of time how the court is going to construe the claim. Because experts can't even really argue, if you don't know the meaning of the word, how can you argue over what is infringing or indefinite. For example, I give you a patent and it has six words in Russian Words. Well, if we don't know Russian, and we don't know what those six symbols mean, then how can we decide what the patent is? So maybe we have to bring in Expert, the interpreter who speaks Russian and they'll write or tell us, and I can define the term. And then the engineers and the lawyers can say, if it means this, we can decide whether infringe or not. I think that It is necessary to divide stages between claim construction and infringement or invalidity according to the complexity of Patent. Therefore, some departments of Patent Court conduct a claim construction hearing during pre-trial proceedings, to the extent that the parties request to interpret claims or claim words are complex.

Kiyoung KIM : Judge Asayo, you answered no and you said that claim construction matter is discussed in the first stage where validity issue is handled. Can you tell me more about the two stage procedure?

Asayo OHYIRI : To explain two stage procedure I must explain two points about Japanese legal system. One is if claim asks for damages, Japanese courts can early give principal one judgement. In that judgement if the court finds that infringement, they must actually give a specific sum. They need to calculate sum of the damages. Second point, judge GRABINSKI kindly explained earlier, in Japan a court does not hold consecutively, so it is not like the United States. But we have periodic hearing so for example if a claimant poses a case to a court, the court would fix the first trial and first court oral hearing date in about a month, and then they would fix another oral hearing date in about one or two months time, and then they would have total five or six oral hearing dates and then they would give the judgement. So in such proceeding it is rational for the parties to concentrate the argument and submission of evidence on infringement early in the first half of the process because if the court reaches the conclusion that the reason is no infringement, the court not need to go into damages questions but then just give a judgement saying that your claim is dismissed because there is no infringement. In the first stage the parties early submit arguments on claim construction whether the defendant's product is within the scope of the patent valid or not. If these things are established early, and then the court tells the parties "we think there is an infringement, so please submit arguments and evidence on damages." And they go to the second stage.

Kiyoung KIM : Judge Grabinski and Judge Gong, you answered no to the question, and you mentioned about the bifurcated system. So, please elaborate the relationship between the bifurcated system and the 'lack' of separate claim construction procedure? Judge Grabinski, Can

you tell me first? and then Judge Gong?

Klaus GRABINSKI : With regards to a claim construction and bifurcation system, I think it is not the really connection between both. Claim construction is always the first thing you have to do. With regard to the infringement you always have to know what's the claim and how far does it go, how has the claim to be understood. This is true in the infringement action as well as in the validity action. Things of all the three grounds for revocation are patentability which includes novelty and non-obviousness, the sufficiency, and the edited matter. You always have to first know what's the claim. We actually just a couple of weeks ago elaborated this judgement. This is always independent which way you go. It is always the first step. You have to make sure what's in the claim. Of course you have a focus. You are not interpreting the claim in general and in theory but you always have a focus on infringement that their action focus on which elements of the patent claim is discussed with regard to infringement. The claimants of infringement actions give a wide interpretation and the defendants give an error interpretation. Of course you focus the claim construction on this issue always having in mind of course the whole claim and the whole teaching of the claim. And the same with the one you talk about a revocation and the validity issue. You also know what is discussed by the lawyers. They are combining a document one of the prior art and the document B of the prior art. Maybe in this context the certain understanding of the claim is also important and you address this first, and then you turn and look at the document of the prior art and find out what does it mean with regard to these documents. So always claim construction first, independent that you have a bifurcated system or you have a unitary system.

Qitian GONG : There is no separate procedures for handling claim construction in Guangzhou IP Court. It is handling with other issues including infringement and damages on the same trial day, but not including validity issue. Because in China patent dispute over validity and infringement will

be settled through different legal approach. As for patent validity dispute the Patent Reexamination Board of the SIPO makes its decision in the first place. If a party is dissatisfied with the decision, he may bring an administrative suit to the Beijing Intellectual Property Court of first instance. As for patent infringement disputes, such disputes will be tried by a court having jurisdiction, but the court has no power to directly annul the patent.

Kiyoung KIM : I think through this slide and questions we have a kind of background information about claim construction of different countries. Basically claim construction is kind of independent of the litigations. And even in the bifurcated systems claim construction is the first to handle. Judge SLEET also mentioned about intrinsic evidence and extrinsic evidence. We will talk about that other slide also. Let's move on to the next slide. The title of the slide is claim separate ruling. The question for this slide was whether a separate ruling for claim construction is issued. This matter is quite related to whether there is a separate procedure for claim construction. Only Judge Sleet answered yes. So, Judge Sleet, can you explain what claim construction order is and when it is issued?

Gregory SLEET : Again judges can choose to do this however they will. Many judges write opinions, but I write orders. You can, just like in a summary judgment, responding or deciding a summary judgment motion or any other motion, you could write what I would call an opinion, and your opinion can appear in various forms. When I think of an opinion, I think of something that, there is perhaps more writing if you will. Early on in my career I spent a great amount of time crafting opinions with law clerks around claim construction issues, and then decided after the point that it wasn't time as well spent as I might. Particularly now today with having over 300 patent cases on my docket as each of us do in Delaware, I don't have the time, though some of my colleagues manage to find the time in Delaware Court to write full-blown opinions. An order is simply that: it's an order of the court, where, in a brief or more summary fashion, I will explain

the meaning of the term at issue and the reasoning behind or why I arrived at the conclusion, in brief, in order to have the parties have the benefit of my thinking, and most especially the Court of Appeals have the benefit of my thinking on the subject. So that's what an order is. It's issued as I said in my case because of its brevity, within 30 days or so. When I early on came on the bench, I would do informal surveys with lawyers and I'd have generic conversations with them about procedure, and we'd do this at the scheduling conferences because I used to have my scheduling conferences in Delaware in either the courtroom or chambers. I would question them about what they preferred. These were all experienced lawyers in a generic sense. And the answer inevitably that I would get back was "we would like to have your ruling before our experts have to opine, so that they don't have to opine in the alternative, so that they don't have to change their report after you've issued your ruling." So I took that teaching to heart, and that's the genesis of my practice.

Kiyoung KIM : Judge Grabinski, you answered no but you also talked about preliminary view. So, Can you tell me what preliminary view is and when it is issued?

Klaus GRABINSKI : Still the approaches as I explained this morning, German system is a front loading system fully fledged to the written statements so judges read this carefully or at least should read this carefully and so they are aware of all the issues that are discussed and that are disputed between the parties. At the beginning of the oral hearing they give a preliminary view not necessarily restricted or limited to claim construction but to the full case. But with regard to claim construction, after the deliberation among judges before the hearing, and then presiding judge could say "We tend to interpret to give a claim construction with regard to feature A and B, this will be interpreted narrowly for short reasoning for it." and then the lawyers know what what's going on and of course the defendant are very pleased that it was given narrow interpretation,

but the plaintiff has a chance to convince the court that this preliminary view is not right. They take notice of a certain aspect that they think is important, so it is really a kind of last chance for the possibly losing party to address the issue that will decide the case and give their view once again. Actually sometimes it is misunderstood by the lawyers, they think that the court will kind of provoke them. It is actually not the idea. This idea is to open what's a preliminary view of the idea of of the court, and so the lawyer has a last chance to get the right way he looks at it.

Kiyoung KIM : Can this preliminary view be changed later?

Klaus GRABINSKI : Yes, of course. As you said 'preliminary'. To be frank, it is not that often, it happens.

Kiyoung KIM : Judge Asayo, you also answered no but you said that sometimes judges disclose opinions about infringement at the end of the first stage. So, can you tell me more about the practice of disclosing court's opinion about infringement?

Asayo OHYORI : As in Germany we don't have courts' disclosing opinion just on claim construction but rather on whether the court thinks there is infringement or not. As I said earlier if the court thinks there is no infringement, the court would not disclose opinion and they usually just give a judgement. If the court thinks there is infringement, then they will disclose the opinion and then ask the parties to proceed to the damages argument. It has two merits. One is obviously its cost and time efficiency and other point is that the court takes the opportunity to recommend the parties to enter a settlement procedure because it is much easier for the defendants to reach a settlement when the defendant knows that the court is going to rule in favor of the claimant, and there are damages awarded regardless whatever the sum is. It has much more high chance to reach a settlement.

Kiyoung KIM : Judge Son, you also said no but you talked about the order for preparation. So can you explain the order for preparation and its relationship with claim construction?

Cheonwoo SON : Because former speakers said many things about claim construction and proceedings, I add some points. Until now the Patent Court of Korea doesn't use claim construction orders, but I don't know what happens in the future. Some Departments of Patent Court order parties for preparation such as slide. We order that parties should submit the desired terms, phrases and clauses to be interpreted by the court in the claim at issue. If parties would desire court to interpret some claims, court, first of all, would interpret claim on the first trial date. And some department permit parties to explain on technology about patent at the beginning of the first pleading. Before pleading about prior art, we can concentrate on the claim, specification, prosecution history of patent at issue. I try the designation pleading date order like slide. Many lawyers and attorneys are helping us. We try new things.

Kiyoung KIM : I think courts have different practice regarding disclosing their opinions about claim construction or infringement. I feel that judges try to find a kind of efficient way to save time and cost of the parties and the court. Let's move on to the next slide. The question for this slide was whether the same criteria for claim construction in validity and infringement decisions are used? Regarding this, only Judge Son gave a somewhat different answer. So first question will go to Judge Son. Judge Son, can you explain how Korean courts interpret claims for validity and infringement decisions?

Cheonwoo SON : It is very delicate and difficult problem in Korea. The court, as a matter of principle, applies the same criteria to both validity and infringement decision. However, the Supreme Court, in respect of infringement decision, held that, "The scope of rights or protection

of a patent should be determined by the claims in the specification, and if the technical scope is apparent from the claims, the claims should not be restrictively construed by other disclosures of the specification; provided, *however*, that if it is clearly unreasonable to literally construe the claims, in light of other disclosures of the specification, the scope of a patent rights may be restrictively construed, after a comprehensive consideration of: (i) technical data of the applied patent, (ii) other disclosures in the specification, (iii) intention of the applicant, and (iv) legal stability for third parties. Thus, the Supreme Court presented an approach of limiting the protective scope of a patented invention to ensure the reasonableness of infringement decision.

Kiyoung KIM : The next question goes to Judge Asayo. Judge Asayo, It seems that Japanese criteria for claim construction have changed a lot after *Kilby* decision. Can you elaborate that point?

Asayo OHYORI : The Supreme Court *Kilby* decision on April 11, 2000 rules that if it is clear that a patent has reasons to be invalid, and then exercising of such patent right constitute an abuse of right, and introduced in substance defense of invalidity. Until the introduction of such defensive invalidity in infringement cases, even if the scope of the patent is too broad and it includes a known prior art, the court could not rule that the patent is invalid. So the court found it is necessary to adopt restrictive interpretation for infringement decisions in order to exclude an accused product which is within that known prior art. But after the *Kilby* decision, it is not necessary for the court to adopt such different interpretations to lead to just conclusion because the court can now say that the scope of the patent is too broad and it includes a known prior art then it is an abuse of rights to exercise such patent because it includes invalidity. So the present popular understanding within the court is that basically claims should be interpreted in the same way of both validity and infringement. This would be even more so after the recent Supreme Court decision called *Pravastatin* cases on 5 June this year in which the Supreme Court interpreted a product-by-process claim in the same way both for infringement and patent

applications.

Kiyoung KIM : As far as I know there was very important decision from the Supreme Court of Korea some month ago. Judge Grabinski, do you have any comment regarding this slide?

Klaus GRABINSKI : I will give very short comments. I think it's pretty clear that validity and infringement claim construction are two sides of the same medal. They should be the same. However, problems are in a bifurcated system because the court is independent and doesn't have necessarily to follow another courts. There is of course persuasive influence. For example, the infringement court which would be the normal situation issues the first decision, and then it is for the Patent Court to decide on the same issue. President Schmidt already mentioned about this in regard to foreign decision, but this is of course also true for the decisions within Germany. If the Federal Patent Court has really the same issue for claim construction, the second court has to either follow the first court which would be normal way, but if they think they got it wrong, they have to give reason why they think it is wrong and give reason why what they think is right to do. You have different interpretation at the end of the day with regard to the same issue of claim construction. The Supreme Court or the Federal Court of Justice develop some kind of mechanism that makes sure that at the end of the day the patent will get one and only interpretation no discrepancy over there.

Kiyoung KIM : I think this tendency to interpret claims invalidity and infringement litigation is going to the same way in almost all the courts. Let's move on to the next slide. It is about functional claims. The question was whether there is the same criteria for Functional Claims. Regarding this, Judge Gong gave a different answer from other judges. So, Judge Gong, can you explain about the Chinese practice regarding functional claim construction?

Qitian GONG : The patent office and the Patent Reexamination Board of the SIPO interpret functional technical features in a different manner than courts do. The technical feature defined by function in a claim shall be construed as embracing all the means that are capable of performing the function. When technical features described by function or effect in a claim, court determine the content of these technical features according to the specific way of implementation of the functions or effects described in the description and drawings or an equivalent way of implementation. Thus it follows that the Patent office and the Patent Reexamination Board of the SIPO tend to interpret in the wide sense, while courts usually do in the narrow sense. But the Patent Office and the Patent Reexamination Board of the SIPO impose restriction on features of function or effect according to guidelines for patent examination of SIPO. Usually for product claims, features of function or effect shall be avoided as far as possible. It is only when a certain technical feature cannot be defined by the structural feature or it is more appropriate to be defined by the feature of functional or effect than by a structural feature. If a function can be directly and affirmatively verified by experiments or operations as stated in the description by customary means in the art, that definition by features of function in the product claim can be permissible. For claim containing a feature defined by function, whether the definition by function can be supported by the description shall be examined. If the function is carried out in a particular way in the embodiments of the description, a person skilled in the art will not appreciate that the function could be carried out by other alternative means not described in the description. A person skilled in the art can reasonably doubt that one or more means in the definition by function cannot solve the technical problem and achieve the same technical effect. The definition by functions, as increasing the other alternative means more or a means which is incapable of solving the technical problem, shall not be allowed in the claim. If a person skilled in the art cannot understand what they might be or how they might be used, that definition by function in the claim is not permitted. In addition, if claim of pure functional definition cannot be supported by the description, it is not permitted.

Kiyoung KIM : Judge Asayo, you answered yes but you said that "the criteria may differ in some exceptional cases." So what do you mean by exceptional cases where claim construction for functional claims may differ from general practices of interpretation?

Asayo OHYORI : I don't really have any exact example what this some exceptional cases would be. As I said before, trend in the interpretation has changed largely before and after the *Kilby* decision. For my personal point of view, the claim construction should be the same for infringement and for invalidity even for functional claims. But because there is no definite Supreme Court decision or rules regarding functional claims, I can't say for sure that all courts always interpret them in the same way. That's why kinds of exceptional cases may occur. Also because if a patent claim was so broad that it includes a known prior art, it easier for the court to say it is invalid because it includes a known prior art. If a claim is a functional claim and it's ambiguous and it is too broad as you have doubts that it might not be supported by the detailed description as a whole, but maybe you're not so sure as to make it invalid and in such a case the court may reach a decision to say "okay, it is not enough to say invalidity but interpretation should be limited to a certain level at disclosed within the detail description so not to make it too broad." So that is kind of being possible case that I have in mind, but I don't have the clear example.

Kiyoung KIM : Judge Son, Judge Sleet and Judge Grabinski, do you have any comment to this question?

Klaus GRABINSKI : Function claims, what does it mean? Essentially means that it is a broad scope of protection. That is essentially what it means. I think in principle there is nothing wrong with the broad scope of protection. And again it is two sides of a medal. If you have a broad scope of

protection, then of course you open for invalidity attacks much more. If there is nothing in the prior art, then it will be upheld, but it is much easier of course to attack the patent, and then you might end up in what was described by judge Qitian GONG. That's at the end of the day you have to limit the claim. As for the functional claim you have to limit it really to precise embodiment, maybe an example that you have in the description of the patent, and then end up with a narrow scope of protection. That can be development in the litigation. You serve the broad claim or functional claim, and they find some piece of arts, and then you have to restrict the patent to the embodiment in the description of the patent, and then you may lose the infringement claim, so that would be a normal development and this kind of situation. But I think there is no way it's should be the same interpretation. Why not? It will regulate by itself by finding something in the prior art.

Kiyoung KIM : Go to the next slide. The question for this slide was whether claim construction is a matter of law or fact? To this question, Judge Grabinski gave the most clear answer 'Yes'. So, Judge Grabinski, in Germany, there is no debate or exceptions regarding this matter?

Klaus GRABINSKI : What is a claim? A claim is a rule. It is saying "stay out of my technical areas. Stay out of my product claim. Don't use my procedures claim." It's a general rule to the public. I think it has to be interpreted as a piece of law. Of course there is one aspect that some factual aspects may sneak in. That's because you have to interpret to construe the claim from the angle of the person skilled in the art. Who is the person skilled in the art? Sir Robin Jacob who is the famous English judge says it's a 'Dummy'. At least as a fictitious person, you cannot meet the average person skilled in the art in the streets. The judge has to understand what is the perspective of a person skilled in the art. It can be generally an engineer and a craftsman. In order to understand what is the approach and what is the angle of a person skilled in the art, there might be necessary that the judge takes evidence and finds out what is the approach of this

person skilled in the art, what are these abilities, what is his knowledge and what are his skills when he looks at a piece of prior art. When he looks at the patent claim, some factual aspects can come in, but as I said in practice these are pretty law cases.

Gregory SLEET : Perhaps, for the US slide, I might have to say 'mixed/law'. For this reason, district courts judges, I think my district court colleagues will agree, for us we've always engaged in fact finding one sort or another when doing claim construction. This has now been recognized by the Supreme Court previously, and the CAFC said that "*Markman* cases are questions of law. We are going to take '*De Novo Review*' even if you are engaged in a mixed activity that is finding facts." For some reason, I think the reason is that the CAFC, with all due respect, sees itself as the keeper of all things patent. That's fine. But they fail to recognize that we were engaged in fact finding. Now the *Teva* case says "Okay, you do from time to time engage in subsidiary fact finding, and to that extent we are going to review your ruling on higher standard, a higher, clear error standard that has to be applied versus *De Novo Review*, when you engage in fact finding." And so that's what I said what I said, maybe it's ultimately a question of law. We have to decide a matter of law what the claims mean. But there is fact finding that goes on.

Kiyoung KIM : Judge Son also answered that it is basically a matter of law but if indirect facts are admitted it can be a matter of fact. Can you explain in some detail this point?

Cheonwoo SON : I agree with judge Sleet comment. Korea cases are similar with U.S. proceedings. Basically, claim construction may be considered to be a matter of law. However, admission of indirect facts required for claim construction can be considered as a matter of fact. During interpreting claims, Court can obtain many information through dictionary, thesis and expert witness as well as claim, specification, prosecution history. Court can admit indirect facts necessary to interpret claim by taking Intrinsic and Extrinsic Evidences. Accordingly, claim construction is a complex matter involving legal judgment based on a matter of fact.

Kiyoung KIM : I think that claim construction is going from a matter of law to mixture of a matter of law and fact. We conclude discussion about claim construction, and we are now talking about procedural rules. The title of this slide is separate rules for patent case management. The question for this slide was whether there are special rules for patent case management which are different from general civil litigation management rules commonly included in the Code of Civil Procedure. Regarding this question, Judge Gong answered yes. So, Judge Gong, can you explain in detail the Chinese rules for patent case management?

Qitian GONG : According to the Several Provisions of the Supreme Courts on Issues concerning the Application of Law in the Trial of Cases on Patent Disputes, Article 8 provides that where the defendant of a dispute over the patent right for utility model or design makes a request for the discontinuation of the action, he shall make a request for the declaration of invalidation of the plaintiff's patent right within the period of defense. Article 9 sets forth that where the defendant makes a request for the declaration of invalidation of that patent right during the period of defense, the court shall discontinue the action, except that some circumstances occur. For example, the evidence provided or grounds relied on by the defendant for the request for the declaration of invalidation of the patent right is obviously insufficient. Article 10 provides that where the defendant makes a request for the declaration of invalidation of that patent right after the period of defense has expired, the court shall not discontinue the action, except that it is deemed necessary to discontinue the action. Article 11 sets forth that with respect to a dispute over the patent right for invention accepted by the court or a dispute over the patent right for utility model or design in which the patent is maintained after the examination of the Patent Reexamination Board, where the defendant makes a request for the declaration of invalidation of that patent during the period of defense, the court may continue the action. In accordance with Article 1 of the Interpretation of the Supreme People's Court on Several Issues concerning the

Application of Law in the Trial of Patent Infringement Dispute Cases, where the right holder alters the claim asserted by him before the end of the court debate of the first instance, the court shall permit such alteration.

Kiyoung KIM : Judge OHYORI, you answered No to this question. But you said there is a Guideline for patent case management or there are some special rules for production of documents etc. in the Patent Law. Can you explain this point?

Asayo OHYORI : In order to realize a fast and effective proceedings in patent cases, both the IP divisions in the District Court and the IP High Court all have the own standard procedure plan for case management guidelines which are published online and request the parties to comply with. For example, if there was an infringement case in the District Court and the party after the claim has been submitted, then the District Court expects the defendant to submit its contention on infringement and defense of invalidity by 2nd or 3rd oral argument/ preparatory proceedings dates, and the parties to complete the counter arguments in the first stage (infringement and invalidity argument) by 5th or 6th oral argument/ preparatory proceeding dates. In the IP High Court, if you appeal against the JPO decisions, the IP High Court guideline requires all the claimants' argument and evidence to be submitted by first preparation date, and all the defendants' counterargument and defenses and claimants' counterargument to be submitted by the second oral argument date. The proceedings would terminate in the third oral argument date that is the final date. These are only the model of standard procedure plans or case management guidelines, but they normally complied with, which makes it effective and which makes for example the IP High Court cases are concluded between 7 to 8 month.

Kiyoung KIM : Judge Son, you gave me the slide explaining some Patent Court department practice regarding this matter. Can you explain this slide?

Cheonwoo SON : Korea Patent Court don't have separate procedural rule for patent Case management. Most Case Management Rule is included in Code of Civil Procedure. Many departments of Korea, before hearing the opinions of the parties, specify the periods for parties to submit contentions or file a motion for admission of evidence in respect of particular matters. Some departments of Korean Patent Court hold pre-trial proceedings, during which the court hear from the parties their views on the timetable for the submission of prior art and reasons for cancellation of a trial decision. These departments determine the timetable for submission of the same, based on the results of such pre-trial proceedings such as next slide. Some departments render designation of pleading date order including the period of final submission of parties' argument and evidence with respect to the grounds for invalidation of patent. Some department emphasize In the pre-trial proceedings and Designation of Pleading Date Order that a party violating the period decided date, should prove that there are justifiable grounds or in good cause. If not, a means of attack or defense will be dismissed. In summary, Korean Patent Court make up for absence of separate rule by utilizing pre-trial proceedings and Designation of Pleading Date Order.

Kiyoung KIM : Judge Sleet and Judge Grabinski, do you have something to add for this matter?

Gregory SLEET : I think the slide again may be a little misleading if it suggests that there are no rules in the US. I was speaking for Delaware, actually we do not have formal patent case management rules. We have an extensive rule 16 case management order. Different judges on the District Court of Delaware, I'll speak for Delaware, may do things little differently. One of the reasons that we don't have set patent case management rules is because we want to leave one another with the freedom to do things, to manage cases in a manner that is consistent with how we perceive or what we perceive to be our best practices. There are other districts in the country,

the Northern District of California and the District of New Jersey, I believe that they may be several others. They do have separate patent case management rules. It is said that the Northern District of Illinois has that kind of rule. It may be the case that all those patent court have adopted them.

Kiyoung KIM : During the lunch time we talked about American practices. The United States is composed of 50 different states, and then you have a different practice in different states. Let's move on to the next slide for this session. The question for this slide was what the penalties for failing to meet time limits and when the exceptions are applied. To this question, all judges answered that allegations or evidence submitted late should not be admitted. But if late submission is not intentional or not by gross negligence, those allegations or evidence can be admitted. Judge Grabinski used a different expression saying that if all due care regarding submission of allegation or evidence is taken, time for submission can be extended or adjourned. Regarding this point, Judge Grabinski, can you explain when you can say "all due care was taken"?

Klaus GRABINSKI : In principle of course a time limits have to be respected. There are exception situations, for example the party representative is saying "I had a car accident just five days ago and I was in hospital for three days." and he gives the the kind of confirmation from the hospital, then of course this is a reason for extending a time limits. Apart from this if a time limits are not respected, there are some rules not to take them into account. It may be a bit tricky situation. Sometimes it's easier way to get out of this if the further allegations are not good. Judges don't bother with the question of whether to reject yes or no. It really depends a bit on situation how to deal with these allegations. If a claimant completely failed to submit a written statement, the fist instance court or the infringement court will take it off from the list of cases. This is always very hurting the claimants. However, if the defendants don't submit them in time, you just have it a bit earlier and then you speed it up. This can also be quite helpful. There are some ways to deal

with. You, experienced judges, will deal with this kind of situation.

Kiyoung KIM : Judge Sleet, Do you have something to add regarding this matter?

Gregory SLEET : Are we talking about the pre-trial" or does it include the trial?

Kiyoung KIM : Let's first talk about the trial.

Gregory SLEET : Each side gets so many hours to present their side of dispute. If they don't do things within the time allotted, they can suffer a loss of evidence, the lack of opportunity to make a particular argument. If you go over in your closing speech for instance, if you reach your time limit, you are not going to be able to complete your argument. It doesn't happen very often. Lawyers are very careful about the time. But what it does do, way at the back end of a trial when you are beginning and in your planning for those day when you are going to try the case, and the lawyers know they are going to have only so many hours to do things. It helps to focus them in a way that perhaps causes them to be more efficient in how they accumulated evidence, how they conduct discovery work, what kind of motions they are going to file, and how they spend the client's money. In that way there are potential penalties.

Kiyoung KIM : It seems that in China if the evidence is related to basic facts, the evidence can also be admitted even though it is submitted after deadlines. So, Judge Gong, can you explain what "evidence related to basic facts" is and related practices?

Qitian GONG : Although there are provisions providing that evidence provided beyond the time limit deliberately or due to gross negligence shall be considered inadmissible by a people's court, there is an exception laid down by the law that evidence which is related to basic facts of the case shall be regarded admissible. In my opinion, evidence related to the basic fact is the evidence that if it cannot be admitted by the court, the party who submits the evidence will lose the whole case. In patent infringement disputes, as I believe, evidence related to the basic facts

should include evidence regarding prior art or design.

Kiyoung KIM : Basically we've finished our discussion for all the questions we prepared and fortunately we have about 2 min left. So we take some questions if you have any questions.

Carsten Zulch : Judge SLEET, In regard to claim construction, if you make a claim construction order, is it binding on anyone? Is it other remedies?

Gregory SLEET : Remedy is at the end of the case when the judgment is entered at last. It is sometimes the case, as I'm sure all of you know, that the claim construction is the case. It is going to be case determinative. I've had it happened where the parties said "well, judge, if you're right we will lose." And they'll have judgment entered against them, by agreement they'll stipulate, and then take to the Federal Circuit. But you can not take interlocutory appeal on a judge's claim construction order in U.S.

Willem HOYNG : Question to judge OHYORI. You told that if there is an infringement, the case can continue. Is that a kind of German decision in the sense that lawyers can still argue afterward that your opinion which is finding infringement is wrong or is that a final decision?

Asayo OHYORI : Thank for a very good question. I should mention that I think it's quite different from the German system. It is more close to judgment in relation to the dismissal of evidence. If the parties acknowledge that the court's opinion on whether there is infringement or not, and then they still want to submit more argument or more evidence. The courts dismiss the evidence or argument to be too late as the penalty for failing meet the time limits because the court has given them a certain limit to the end of the first stage and then they have given their decision. They are not allowed to argue that afterwards. That is the difference I think.

Willem HOYNG : It is a basically final decision.

Asayo OHYORI : Usually. I mean unless the court changes basically. The same person continues and then it is with the same.